2026

(NEP—2020)

(4th Semester)

ECONOMICS (MAJOR)

(Public Finance)

Full Marks : 75

Time : 3 hours

The figures in the margin indicate full marks for the questions

(SECTION : A—OBJECTIVE)

(*Marks* : 10)

Tick (✓) the correct answer in the brackets provided : 1×10=10

1. "Public finance is concerned with the income and expenditure of public authorities and with the adjustment of one to the other." This statement is given by

(a) Hugh Dalton ( ) *(b)* Bastable ( )

(c) Findlay Shirras ( ) *(d)* Adam Smith ( )

2. According to the principle of maximum social advantage developed by Hugh Dalton, maximum social welfare is achieved when

(a) public revenue exceeds public expenditure ( )

(b) marginal social benefit equals average social sacrifice ( )

(c) marginal social benefit equals marginal social sacrifice ( )

(d) total social benefit exceeds total social sacrifice ( )

3. A good is considered as a pure public good if
   (a) excludable and rival in consumption ( )
   (b) non-excludable but rival in consumption ( )
   (c) excludable but non-rival in consumption ( )
   (d) non-excludable and non-rival in consumption ( )

4. Deadweight loss of taxation arises because taxes
   (a) increase government revenue ( )
   (b) redistribute income ( )
   (c) distort resource allocation and reduce total surplus ( )
   (d) always raise prices proportionately ( )

5. In India, GST was introduced in
   (a) 2016 ( ) (b) 2017 ( )
   (c) 2018 ( ) (d) 2019 ( )

6. The Canon of Economy in public expenditure implies that
   (a) government should minimize all types of expenditure ( )
   (b) expenditure should only be on defence ( )
   (c) public spending must equal public revenue ( )
   (d) public funds should be spent without waste and inefficiency ( )

7. Expenditure on defence, interest payments, law and order maintenance and public administration expenses are generally treated as
   (a) productive expenditure ( )
   (b) unproductive expenditure ( )
   (c) growth-oriented expenditure ( )
   (d) progressive expenditure ( )

8. Zero-based budgeting requires
   (a) every expenditure must be justified afresh each year ( )
   (b) CD budget must always be balanced ( )
   (c) only capital expenditures are justified ( )
   (d) previous year's budget is automatically approved ( )

9. The Chairman of the 16th Finance Commission is

(a) Arvind Panagariya ( ) (b) N. K. Singh ( )

(c) K. C. Neogy ( ) (d) Dr. C. Rangarajan ( )

10. The share of Mizoram in the divisible pool of central tax according to the 16th Finance Commission recommendation is

(a) 0·65% ( ) (b) 0·75% ( )

(c) 0·654% ( ) (d) 0·564% ( )

(SECTION : B—SHORT ANSWERS)

(*Marks* : 15)

Write short notes on *five*, taking at least *one* from each Unit : 3×5=15

UNIT—I

1. Public goods
2. Public finance

UNIT—II

3. Progressive tax
4. Taxable capacity

UNIT—III

5. Classification of public expenditure
6. Deficit financing

UNIT—IV

7. Kinds of budget
8. Fiscal policy

(SECTION : C—DESCRIPTIVE)

(*Marks* : 50)

Answer *five* questions, taking at least *one* from each Unit : 10×5=50

UNIT—I

1. What is market failure? Discuss the role of government in correcting market failure. 3+7=10

2. Explain the principle of maximum social advantage.

UNIT—II

3. Discuss the characteristics of a good tax system.

4. Distinguish between tax and non-tax revenue. Briefly explain the sources of non-tax revenue.

UNIT—III

5. Discuss the various sources of public borrowing.

6. Examine the effects of public expenditure on production, distribution and consumption.

UNIT—IV

7. Explain the different components of a budget.

8. Discuss the role of the Finance Commission in India.

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